Standard Operating Procedure

SOP – AZ 122 Client Receiving Procedure

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Revised By:	**Ruben Urias**	(SIGNATURE)	Date: 5/7/2024

Review & Approval

Functional Manager	(SIGNATURE)	Date:

1.0 **Scope:** Procedure to transact all inbound customer orders.

2.0 **Purpose:** To ensure all Inventory Control team members are trained on the proper procedure for transacting customer inbound shipments.

3.0 **Responsibility:** Is it the responsibility of the Inventory Team to follow the correct procedure for the transaction of inbound shipments. It is also the responsibility of the Inventory Leads and Supervisors to ensure all employee are trained on the correct procedure.

4.0 **References:**

5.0 **Definitions and Abbreviations:**

6.0 **Process:**

6.1. Verification Process

6.1.1. The receiver shall perform a detailed documentation and count verification to assure that the information found on the packing lists are in agreement with the actual products, batches, and count quantities unloaded from the truck.

6.1.1.1. These notes should be recorded on the Finished Product Inspection Form.

6.1.2. The receiver, while verifying all the pertinent information found on the packing list, shall also inspect the product pallets for evidence of physical damage and rodent / insect infestation. Indicate all findings on the packing list.

6.1.3. Verify that the item number, item description, batch number and quantity of each item received agrees with the information on the packing slip.

6.1.4. If pallet does not have shrink wrap, a layer of shrink wrap is applied and our label is applied to shrink wrap. Upon shipment of material HubStarr label is removed from shrink wrap.

6.1.5. If pallets already have shrink wrap, our label is applied as is. Upon shipment of material HubStarr label is removed from shrink wrap.

6.1.6.

6.1.6.1. These notes should be recorded on the Finished Product Inspection Form.

6.1.7. For discrepancies in the quantities, the material handler must document the findings directly on the Clients packing list along with the material handler's signature and date the receiver must also notate any discrepancies in the comments section on the inbound receipt as well.

6.1.7.1. Discrepancies would include overages, shortages, differences in SKU, lot, expiries, etc.

6.1.8. Before receiving another member from the Inventory Control Team must come through and verify the item quantities and lot numbers.

6.1.8.1. If there is any discrepancy between the first count the second count both the receiver and Inventory Control Specialist will go out and verify the item together.

6.1.9. The receiver must complete the Finished Product Material Inspection for, for each delivery.

6.1.10. All visible damage and / or any pest infestations found should be entered on this form under comments section.

6.1.11. Segregate and/or remove damaged or insect infested product from the acceptable

6.1.12. **Please follow the next steps for any damaged Inventory.**

Damages should be adjusted out of inventory after the product has been received using the transaction code DMGV or DMGW.

DMGV = product arrived damaged from a vendor shipment.
DMGW =product damaged while unloading or damaged in the warehouse.

1. **How to Handle Damages:**
    a. Pictures need to be taken of the damaged item(s) illustrating the severity of the damages received and emailed to client along with the receipt documentation.
        i. If pallets are tipped over in the trailer, we would like pictures of the pallets in the trailer before it is unloaded if possible.
    b. In the blank space at the bottom of the packing list, the following must be listed.
        i. Sku# “X” had “Y” damaged units.
        ii. A brief explanation of how the product became damaged is also needed. See examples below:
            1. Pallet fell over during transit.
            2. Pallet wrapped to tightly causing crushed boxes.
            3. Seals on product cracked/leaking.
            4. Forklift damage from vendor.
            5. Etc.
    a. The physical quantity delivered is to be received into inventory.

Once the physical quantity is received (including damages), the damaged product is to be adjusted out as DMGV

6.1.13.

6.1.14. Notify the Warehouse Supervisor to determine what corrective action, if any, will be taken to disposition any damaged product removed.

6.2. Receiving Unreleased Products or Materials

6.2.1. During the receiving process if the receiver comes across any pallets of product or materials that has “On Hold” sign affixed to it, this indicates that the product has not been formally released by the QA department and must not be put into available inventory. The product or material will be included in the verification process of what was received; however, the product and/or material will be moved to the HOLDST immediately after receiving the process is complete.

6.2.1.1. The receiver should check to see if we have received a release from the Clients QA.

6.2.1.2. This product cannot be placed within the BINS until released and all “On Hold” tags removed. Except in the event the load may take longer than 24 hours to be released. The product may be placed into bins, but must be clearly marked indicating the pallets are not to be used and are on hold until further notice.

6.3. Receiving material

6.3.1. Locate the packing list.

6.3.1.1. Packing list if available, if not available provide:

6.3.1.2. Load Number

6.3.1.3. SKU

6.3.1.4. Description

6.3.1.5. QTY, Lot and Expiration info

6.3.1.6. This will help HubStarr Logistics Client Services team to provide the TO in a timely manner. It will also ensure that their not holding us from receiving product.

6.3.2. If no packing slip is follow these steps:

6.3.2.1. Fill out all sections of the manual packing list form.

6.3.2.2. Enter as much information about the shipment and products as possible.

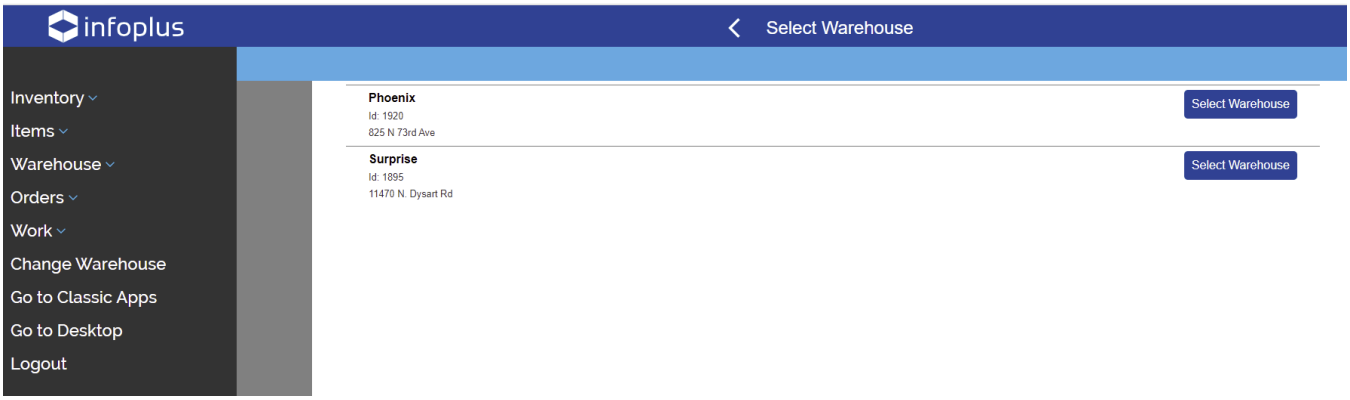
6.3.2.3. Write Customer Name.

6.3.2.4. Write product being received.

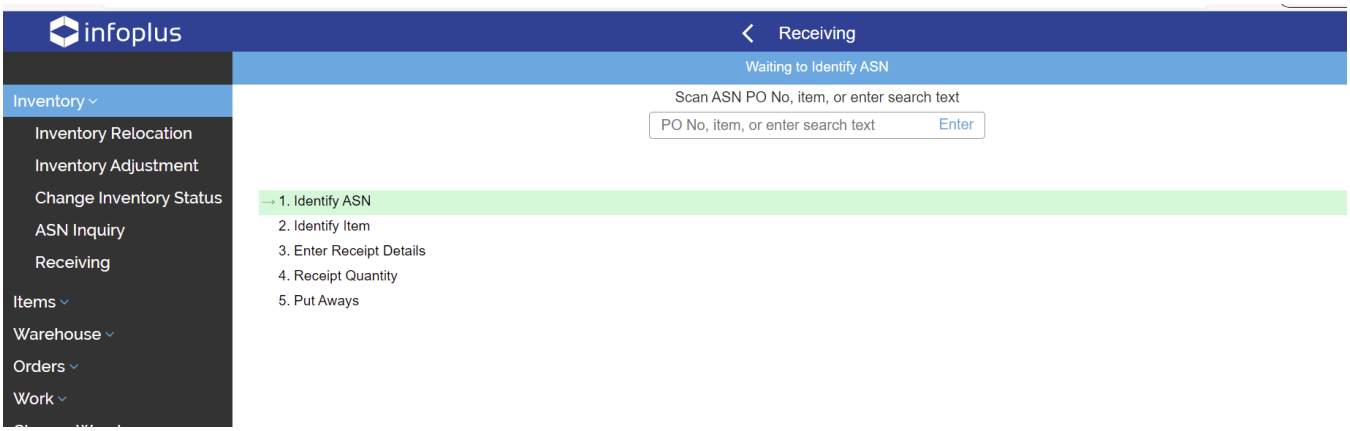
6.3.2.5. Write method of shipment and tracking #s

6.4. Handheld process

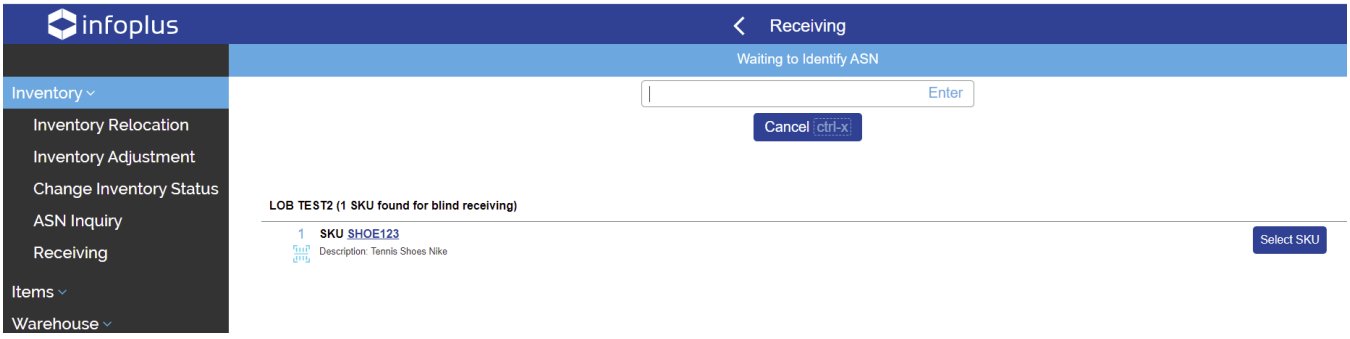
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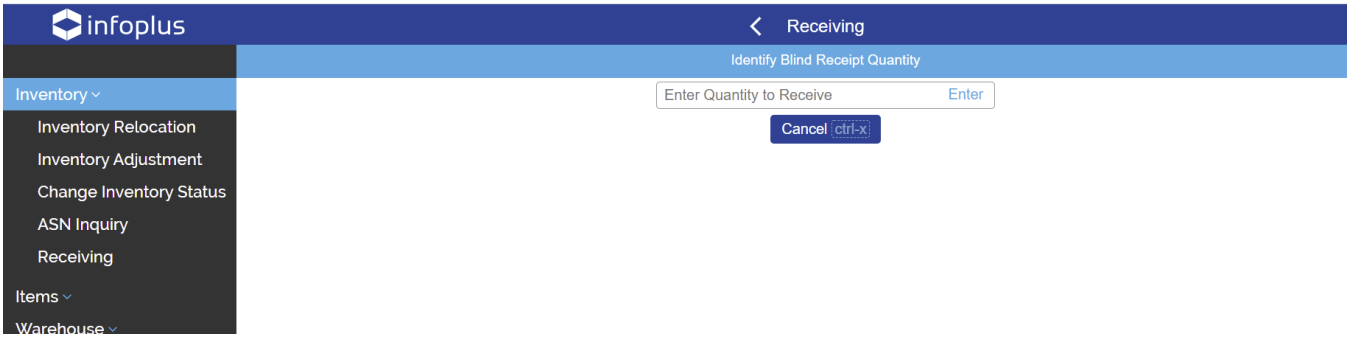
6.4.1. Enter SKU



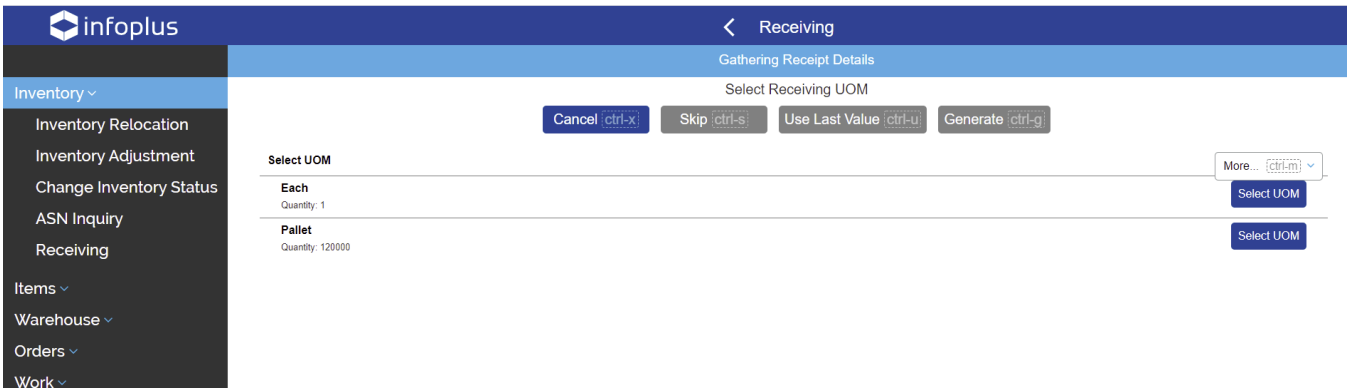
6.4.2. Select SKU



6.4.3. Enter Quantity

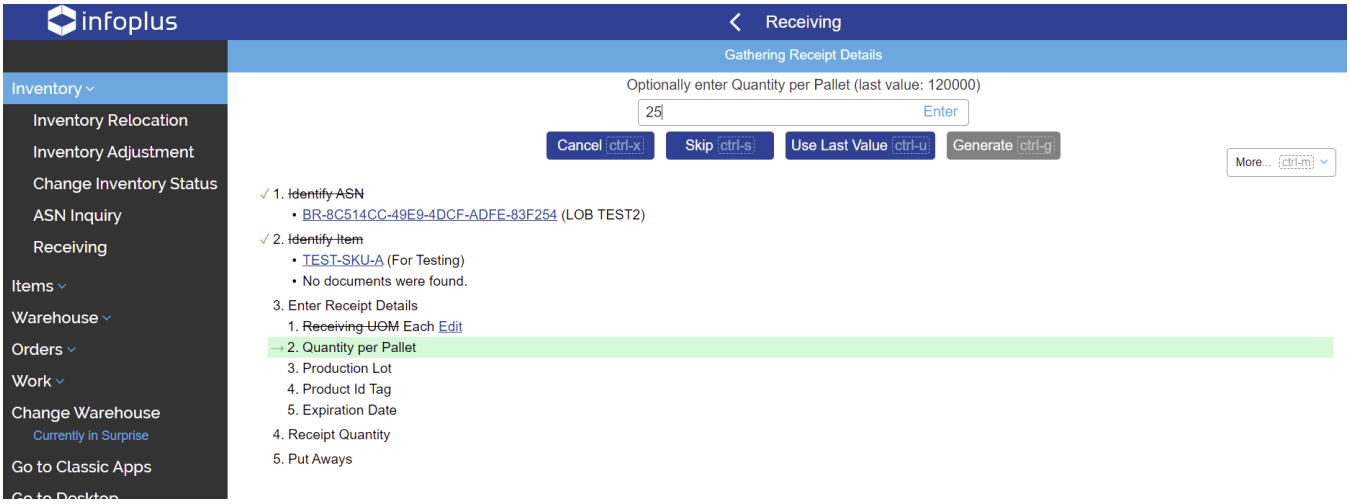


6.4.4. Enter Unit of Measure

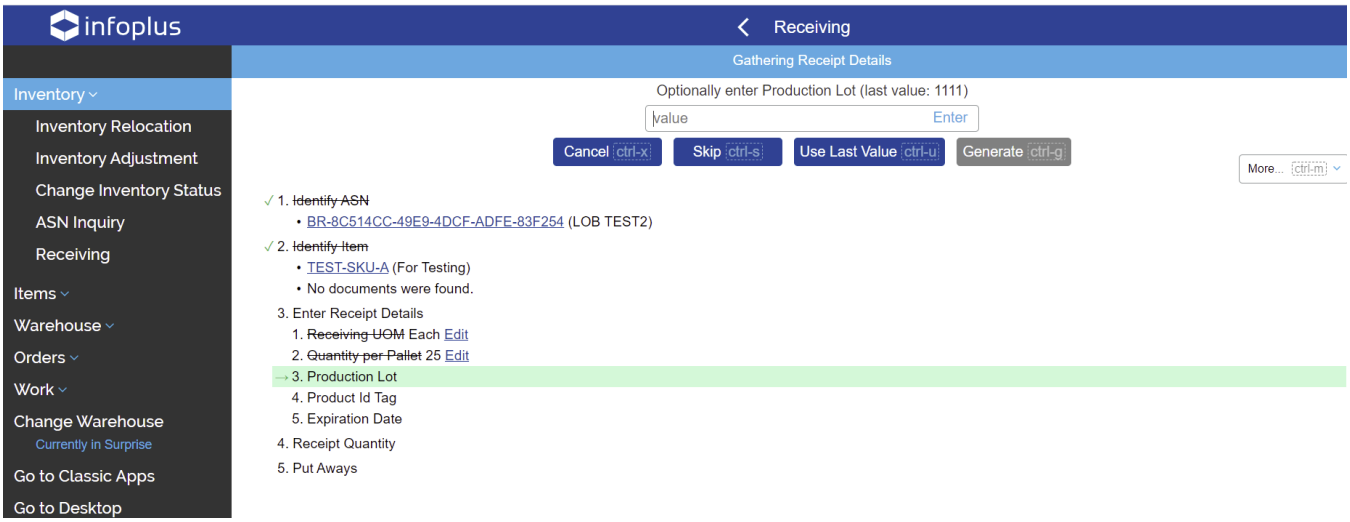


6.4.5. Enter Quantity per pallet (optional)

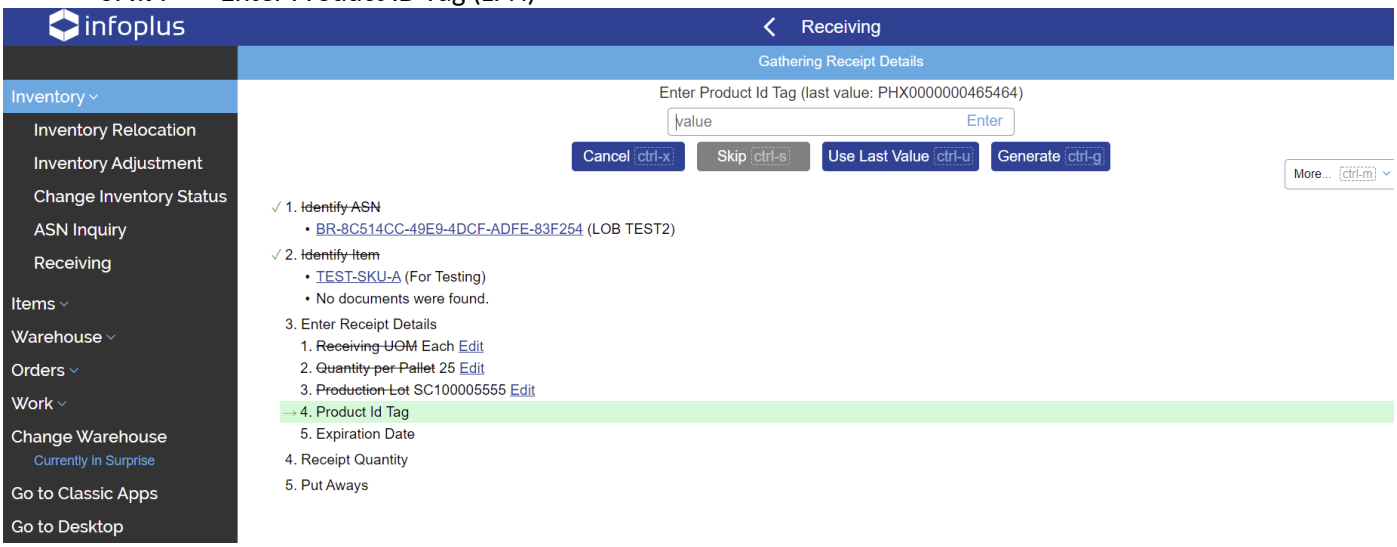
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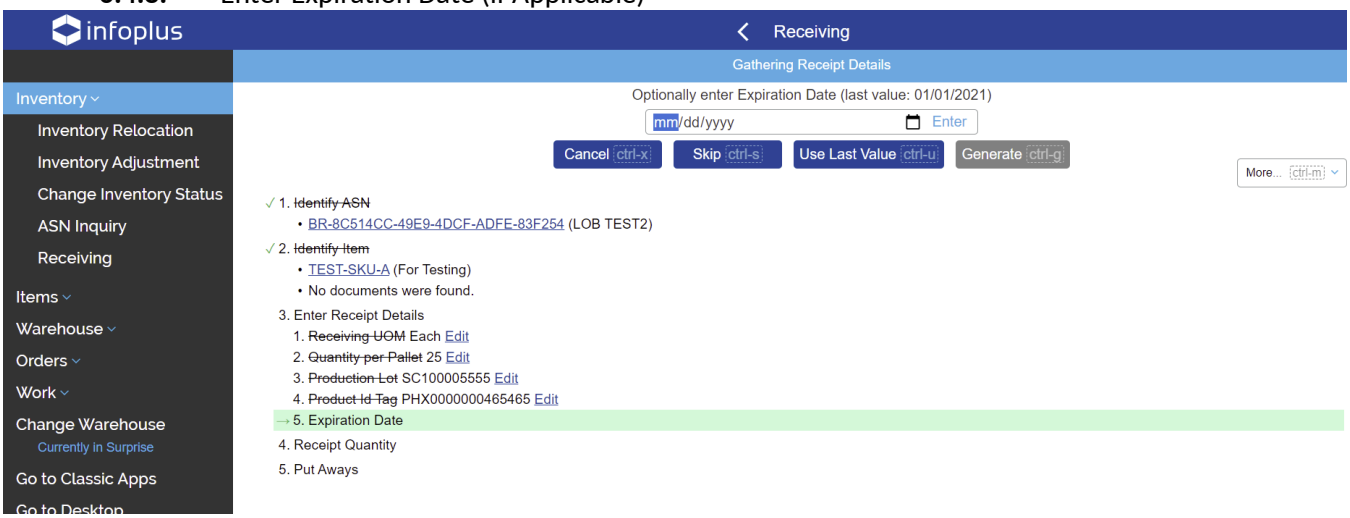
6.4.6. Enter Product Lot (optional)



6.4.7. Enter Product ID Tag (LPN)

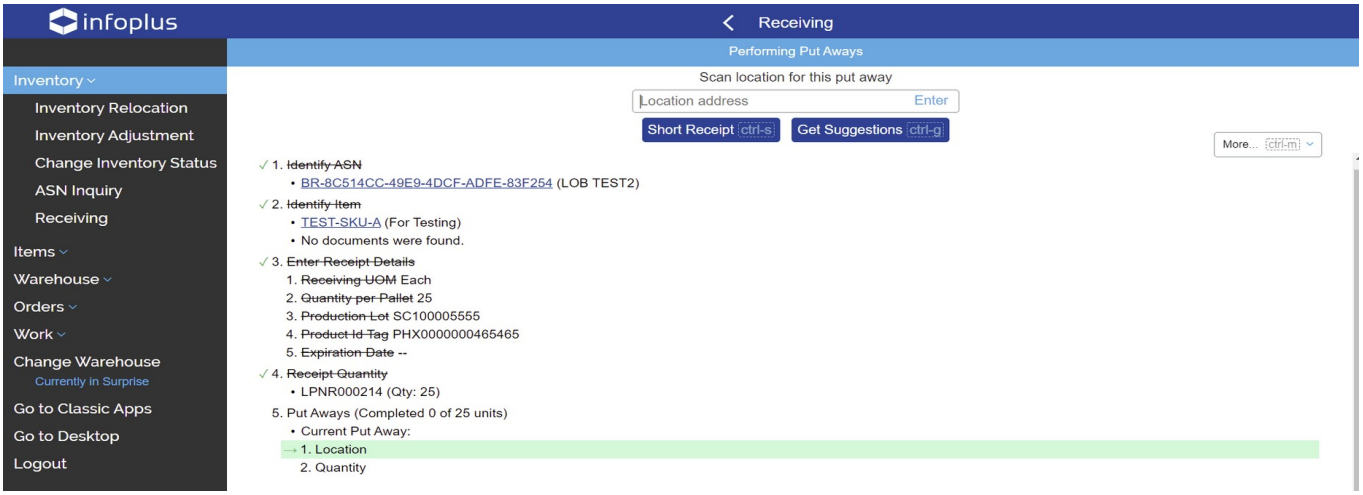


6.4.8. Enter Expiration Date (if Applicable)

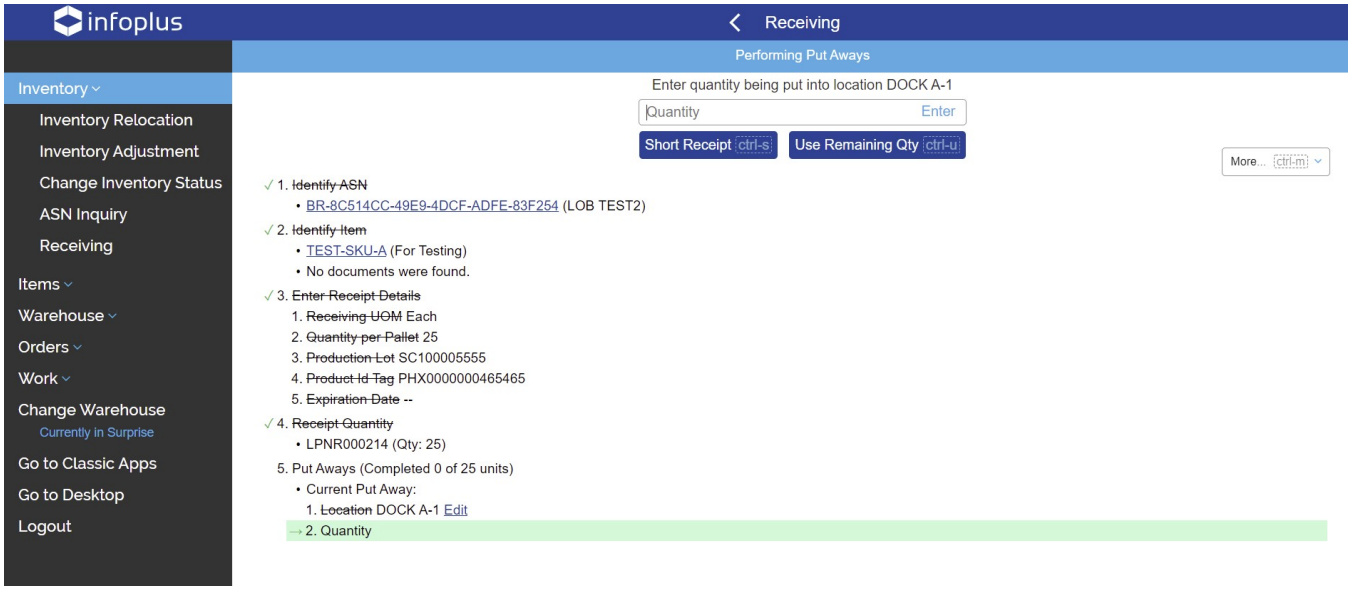


6.4.9. Put away Process – Complete your Putaway Tasks

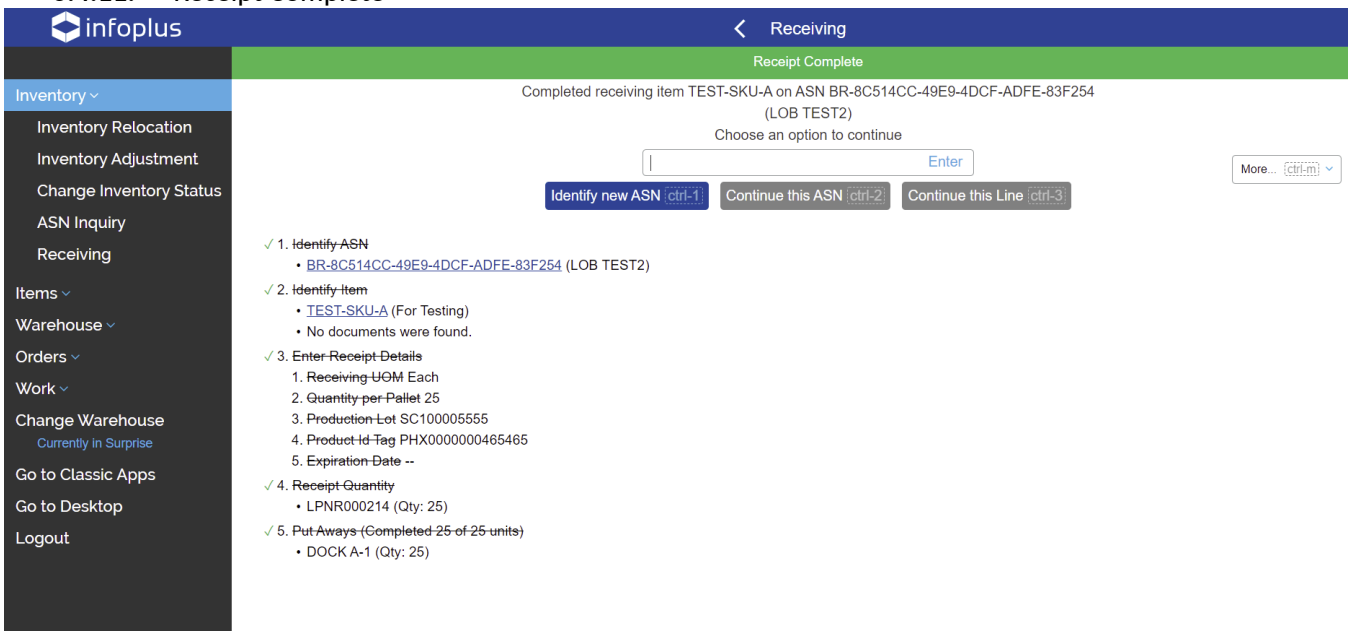
Enter Rack/Dock Location



6.4.10. Enter Quantity



6.4.11. Receipt Complete



6.4.12. Select Putaway under the Inbound – Operations heading in Operations Management

6.4.13. Type your license plate code that you received to, in the Lookup Code text field

6.4.13.1. Select F5

6.4.14. Type in the location that that the product was Putaway to in the Target Location field

6.4.14.1. Select Confirm

6.4.15. Repeat Steps 2-5 for all additional License plates assigned to this shipment

6.5. Receiving Paperwork

6.5.1. At the completion of the receiving process, scan the packing list, BOL, and any other paper work that came in with the shipment into a PDF file.

6.5.2. Save the file to the Inventory Control Shared Drive under the applicable customer folder in the Receiving notifications subfolder.

6.5.2.1. This File should be saved as the load number associated for the shipment. This should be found on the packing list as a C number. (C7502, C8546, etc.)

6.5.3. Email this file to the appropriate CSRs.

6.5.3.1. The subject of the email should either be WMS Inventory if the product is an item that is received into inventory or Non Inventory if the item is something that we do not physically receive (drop ship items, cooler components, etc.).

6.5.4. Once paperwork has been sent over the file to customer (if applicable) you can take the Cover Sheet, packing List, BOL, your count sheets for the receipt and staple them together and place them into the filing cabinet.

7.0 Document History:

Revision	Change	Effective date
ORG	Original Issue	10/15/2020
Rev A	Customer Requirement 6.1.4, 6.1.5, WMS Systems process	6/10/2021
Rev	**Update company change of name and Logo,** all references of Axle to HubStarr. Process Reviewed.	5/7/2024

This process is required to be reviewed, at a minimum, on a 3 year cycle. If there are no changes to the previous revision the signature below is evidence of the review and approval of this procedure.

Reviewed By: _____ Date _____

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